

US Credit Union Core Integration

The integration tax — what a common core buys you, and what it charges

A concentrated core-banking market is the reason a deployment factory is possible at all. It is also the reason every institution inherits the same four integration constraints — and the tax is paid whether or not anyone budgets for it.



MARKET CONTEXT · PUBLICLY REPORTED

The US credit union core market is concentrated across a small number of providers · the leading credit union platform is deployed at several hundred institutions across a very wide asset range

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Vendor and platform names removed. Market data is publicly reported; integration patterns and the tax analysis are from the delivery record.

Core concentration is why a factory works — and why every institution inherits the same four constraints regardless of size

Situation

The US credit union core-banking market is highly concentrated. A small number of providers serve most institutions, and one platform in particular is deployed across several hundred credit unions spanning a very wide asset range.

That means a portfolio of institutions is, technically, a portfolio of the same integration problem.

Complication

Concentration cuts both ways. The same core deployed everywhere means the integration work is reusable — and it also means every institution inherits the same constraints, including the ones that come from a platform designed decades before real-time interfaces were expected.

Those constraints do not scale away. A three-billion-dollar institution meets them in exactly the same form as a five-hundred-million one.

The approach

Treat core integration as a pattern library rather than a per-client design exercise. Four patterns cover essentially everything: real-time service calls, extract-and-transform batch, file transfer, and middleware-mediated access.

The engineering skill is choosing correctly between them, because each has a failure mode that only appears in production.

THE NUMBERS THAT MATTER

4

patterns, reused

1

correct choice per use

3

constraints that persist

0

bespoke integrations

~80%

of integration reused

1

library, twelve clients

The judgement this argues: the integration tax is not avoidable and it is not a criticism of the core. It is the price of a stable, deeply embedded platform that thousands of institutions rely on. What is avoidable is paying it twelve separate times.

Market concentration is publicly reported; the pattern library and the tax analysis come from the delivery record

PUBLICLY REPORTED Market context Core-banking market structure from public industry and regulatory sources. - Highly concentrated provider market - Leading CU platform at several hundred institutions - Wide asset range on one platform - Strong presence in the \$1bn+ tier - Multiple service-bureau delivery models - Long-established platform generations	DELIVERY RECORD My ownership Integration architecture and delivery across the US credit union portfolio. - Four-pattern integration library - Pattern selection criteria - Transformation and file pipelines - Middleware adapter design - Reuse across twelve institutions - Requirement through production	JUDGEMENT Assessed The constraint analysis is engineering judgement from delivery experience, not a vendor assessment. - Constraint characterisation - Failure modes by pattern - Effort split illustration - Not a product evaluation - Not a vendor comparison - Method transfers unchanged	OUT OF SCOPE Not claimed Excluded deliberately. - Any vendor's roadmap or capability claim - Any institution's configuration - Any member or account data - Any confidential document - Benchmark performance figures - Commercial terms of any engagement
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Four integration patterns cover essentially everything — and each has a failure mode that only shows up in production

Real-time service call

Member lookup, balance, account detail, anything a person is waiting for

FAILURE MODE

The core becomes a dependency of the user interface. When it is slow or in a maintenance window, the front end is too.

WHAT PREVENTS IT

Timeout budgets, graceful degradation and a cached read path for the fields that tolerate staleness.

Extract and transform

Bulk data into the platform: member base, accounts, loans, shares, historical activity

FAILURE MODE

Silent divergence. The extract succeeds, the transform drops a subset, and nobody notices until a reconciliation months later.

WHAT PREVENTS IT

Row counts and checksums at every stage, with a reconciliation report that someone owns and reads.

Scheduled file transfer

Third-party feeds, regulatory extracts, statement and card files, downstream reporting

FAILURE MODE

A file that does not arrive looks identical to a file with no records. Both produce a quiet zero.

WHAT PREVENTS IT

Expect-a-file monitoring with an alert on absence, not only on failure.

Middleware-mediated

Where the core cannot expose what is needed directly, or where several consumers need the same call

FAILURE MODE

The middleware becomes an unowned second system holding business logic nobody documented.

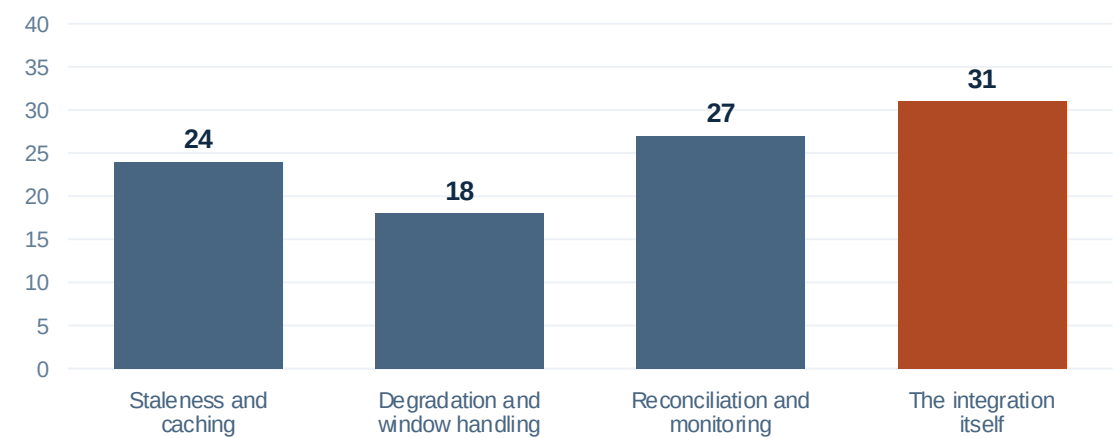
WHAT PREVENTS IT

Middleware transforms and routes; it never decides. Any rule that appears there belongs somewhere with an owner.

Three of the four failure modes are silent. That is what makes pattern selection an engineering decision rather than a preference.

Three constraints persist regardless of institution size — and each one converts directly into effort on every single deployment

Constraint	What it means in practice	What it costs	Avoidable?
Batch-shaped data model	Much of the richest data is available on a cycle rather than on demand, because the platform predates real-time expectations	A staleness decision on every field surfaced to a member	No
Maintenance windows	The core is unavailable on a schedule, and the schedule is the institution's not the platform's	Degradation design for every real-time path	No
Limited native extensibility	Extending the core is possible but slow and version-sensitive; most institutions will not do it	Work moves into the surrounding platform or into middleware	Partly



Illustrative effort split — two-thirds of integration effort is not the integration

Why the tax is worth naming explicitly

Estimates are written against the visible third — the interface itself. The other two-thirds is staleness handling, degradation design, reconciliation and monitoring, and none of it appears in a requirements document because it produces no feature.

Naming it converts a recurring overrun into a planned line. It also makes the reuse case obvious: the invisible two-thirds is almost entirely common across institutions on the same core, which is why a pattern library pays back faster than anyone expects.

Four rules for integrating with an entrenched core

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| 01 | Build a pattern library, not integrations | Four patterns cover essentially everything against a common core. Choosing correctly between them is the engineering decision; designing each connection from scratch is the waste. |
| 02 | Assume silent failure and design for it | Three of the four patterns fail without an error — a dropped subset, a missing file, a stale read. Row counts, checksums and expect-a-file monitoring are part of the integration, not an operational afterthought. |
| 03 | Estimate the invisible two-thirds | Staleness handling, degradation design, reconciliation and monitoring dominate the effort and appear in no requirements document. Naming them converts a recurring overrun into a planned line. |
| 04 | Keep decisions out of the middleware | Middleware transforms and routes. The moment a business rule lands there it becomes an unowned system holding undocumented logic, and it will be discovered by an auditor rather than an architect. |

A concentrated core market is what makes a deployment factory possible. It is also what makes the tax universal — every institution pays it, and the only real choice is whether to pay it once or twelve times.